

Calendar Line 1

Case Name: *Sriadhibhatla Chainulu v. Christina Hudnall*

Case No.: **22CV406880**

MOTION TO SET ASIDE DEFAULT/JUDGMENT

Defendant moves to set aside the default and default judgment entered in this action under Code of Civil Procedure sections 473(b), 473.5, and 473(d), asserting mistake, inadvertence, excusable neglect, and lack of actual notice. The motion is denied.

CCP § 473.5 requires a showing that service did not result in actual notice in time to defend and that the lack of notice was not caused by avoidance of service or inexcusable neglect. The record does not support Defendant's claim of lack of actual notice. Plaintiff presents evidence of repeated attempts at personal service over an extended period, followed by service by publication. In addition, Plaintiff shows Defendant engaged directly with Plaintiff's counsel regarding the lawsuit, including communications acknowledging receipt of the complaint and indicating acceptance of service by mail. Plaintiff further shows Defendant appeared at multiple case management conferences and acknowledged receipt of litigation-related mailings sent to the same address used for service of default-related documents.

These facts are inconsistent with any assertion that Defendant lacked actual notice of the action or was unaware of the proceedings in time to defend. Rather, the record supports a finding that Defendant had actual knowledge of the litigation but failed to meaningfully respond or appear to defend the case.

Relief under CCP § 473(b) is also not warranted. The discretionary relief provision applies only upon a showing of mistake, inadvertence, surprise, or excusable neglect. The conduct reflected in the record demonstrates not excusable neglect, but informed and sustained nonparticipation despite awareness of the action. A party's strategic or intentional decision not to respond to litigation, or selective engagement while avoiding formal participation, does not constitute excusable neglect under section 473(b). Defendant's pro per status does not alter this analysis.

CCP § 473(d) is inapplicable because Defendant has not demonstrated that the judgment is void on its face or that the court lacked jurisdiction. To the contrary, the record reflects substantial efforts at service, including publication, as well as Defendant's own communications and appearances indicating awareness of the case.

Although there is a general policy favoring resolution of cases on the merits, that policy does not override the statutory requirements for relief from default. On this record, Defendant has not met the burden required under any asserted statutory ground.

Accordingly, the motion to set aside the default and default judgment is DENIED.

Plaintiff to prepare the final proposed order, accompanied by the necessary Form EFS-020 within 7 days of the hearing.

Calendar Line 2

Case Name: *Ibanez v. Ibanez et al.*

Case No.: 24CV428712

Defendants' Motion to Compel & Sanctions

I. MOTION TO COMPEL

Defendants move to compel responses to Form Interrogatories, Set Two. Plaintiff has since served verified responses without objections. Because the requested discovery has been provided, there is no further relief to grant.

Although later compliance does not deprive the court of authority to adjudicate discovery motions in appropriate circumstances (*Sinaiko Healthcare Consulting, Inc. v. Pacific Healthcare Consultants* (2007) 148 Cal.App.4th 390, 408–409), the motion itself no longer presents a live issue requiring an order compelling responses. The motion to compel is therefore denied as moot.

II. MONETARY SANCTIONS

Defendants request monetary sanctions under Code of Civil Procedure section 2030.290, subdivision (c). Sanctions are mandatory against a party, person, or attorney who unsuccessfully makes or opposes a motion to compel responses to interrogatories, unless substantial justification or other circumstances render sanctions unjust. (§ 2030.290, subd. (c); § 2023.010, subd. (d).) Sanctions are also authorized even where responses are served after the motion is filed. (Cal. Rules of Court, rule 3.1348(a).)

Here, Plaintiff failed to provide timely responses and did not engage in meaningful meet and confer efforts before the motion was filed. Although responses were ultimately served, they were provided only after motion practice was required. Plaintiff offers no substantial justification for the delay.

Under these circumstances, monetary sanctions are appropriate.

III. AMOUNT AND ALLOCATION

Defendants seek \$945.00 in reasonable expenses incurred in bringing the motion, supported by counsel's declaration. (Code Civ. Proc., § 2023.030, subd. (a).) The amount requested is reasonable and supported.

As to allocation, sanctions may be imposed against a party, counsel, or both. (Code Civ. Proc., § 2030.290, subd. (c).) Given Plaintiff's documented medical condition and the nature of the default as a discovery compliance failure, the Court finds sanctions should be imposed against counsel rather than Plaintiff.

Accordingly:

The motion to compel is DENIED AS MOOT.

Monetary sanctions are GRANTED in the amount of \$945.00, payable by Plaintiff's counsel to Defendants within 30 days.

Defendant to prepare the final proposed order, accompanied by the necessary Form EFS-020 within 7 days of the hearing.

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Calendar Line 3**Case Name:** *City of San Jose v Kim Thuy Ho*

Receiver: Gerard F. Keena

Case No.: 24CV444998

Petition for Adjudication and Approval of Option Agreement by Receiver

The Court has considered the Petition, the opposition, and reply. The Court finds that the present record demonstrates the existence of multiple related actions involving the subject property, including the 2024 receivership action presently before this Court, the 2025 quiet title action presently assigned to this department (25CV470868 – pending next court date of July 8, 2026), and an additional quiet title action currently pending in Department 10, scheduled for August 12, 2026.)

In light of the overlapping issues of ownership, title, and administration of the receivership estate, the Court concludes that the orderly coordination of these proceedings should precede any determination regarding the Receiver's proposed Option Agreement, disposition of the property, or termination of the receivership. The Court is concerned that substantive rulings in separate actions could result in unnecessary duplication or inconsistent rulings absent coordinated case management.

Accordingly, the Court declines at this time to adjudicate the competing ownership claims or to approve the proposed Option Agreement.

The Court further declines at this time to terminate the receivership. However, the Court notes the parties' competing positions regarding the necessity and continued expense of the receivership and the extent of rehabilitation accomplished since the Receiver's appointment in August 2024. Those issues remain relevant to the continued administration of the receivership and will be addressed following coordinated case management.

The Court orders all counsel, the Receiver, and any self-represented parties to appear for a coordinated scheduling and case management conference. Parties shall be prepared to address, among other things:

1. The procedural posture of all pending actions involving the property;
2. Whether any actions should be related, coordinated, stayed, or otherwise managed to avoid inconsistent rulings;
3. Which action should proceed first to adjudicate the ownership issues;
4. A proposed schedule for bringing all remaining litigation concerning the property to final resolution.

The Receiver shall file, no later than fourteen (14) court days before the continued hearing, a comprehensive status report setting forth: (1) all rehabilitation work completed to date; (2) all work remaining; (3) all receivership expenditures incurred since appointment; (4) all Receiver's Certificates issued and outstanding; (5) the current code enforcement status of the property; and (6) the Receiver's recommendation regarding the future administration of the receivership in light of the pending ownership litigation.

The Petition is continued to a date to be determined on July 1, 2026.

Calendar line 4

Case Name: JPMorgan Chae Bank, N.A. vs Sukhjееv Singh

Case No.: 25CV472064

Defendant moves to set aside the default entered 9/30/25 and the default judgment entered 2/20/26, asserting he was not personally served and, alternatively, that he believed the matter could be resolved informally and did not understand he was required to file a written response within 30 days. He further states he acted promptly once he learned of the default and seeks to litigate the matter on the merits. Plaintiff has not filed an opposition.

The record reflects a proof of personal service on 8/12/25, which includes a physical description of the person served. Default was entered on 9/30/25. Defendant filed this motion on 12/18/25, before entry of the default judgment on 2/20/26, along with a proposed answer.

Relief is sought under Code of Civil Procedure section 473(b), Code of Civil Procedure section 473.5, and Code of Civil Procedure section 473(d).

The court notes the proof of service is facially valid and constitutes prima facie evidence of proper service. Defendant's denial of service is not persuasive on this record, and the court does not make a finding that service did not occur. However, the court also does not resolve that factual dispute conclusively at this stage.

Critically, Defendant filed this motion while the case was still in default status and before entry of default judgment. The judgment was entered while the motion was pending. This procedural posture is significant: the court is not being asked to disturb a long-final judgment entered in reliance on finality interests, but rather to resolve a timely request for relief that was already under submission when the judgment was signed. In that setting, the equities weigh differently, and the preference for resolution on the merits carries greater force.

As to excusable neglect, Defendant's explanation that he believed the matter could be resolved informally and did not understand the need to file a responsive pleading within 30 days is not, standing alone, a strong showing under section 473(b). However, Defendant acted promptly upon learning of the default, has now appeared, and has submitted a proposed answer demonstrating an intent to litigate the case on the merits.

Although Plaintiff has not opposed the motion, the court does not rely on silence alone. Instead, the court considers the full procedural posture: a timely motion filed before entry of judgment, a relatively prompt appearance by Defendant, and the strong policy favoring adjudication on the merits where reasonably possible.

Balancing these considerations, the court exercises its discretion to grant relief.

The motion is GRANTED. The default entered 9/30/25 and the default judgment entered 2/20/26 are vacated. Defendant's proposed answer is deemed filed as of the date of this order.

Nothing in this ruling should be construed as a finding that Defendant was not served. The proof of service remains facially valid and constitutes prima facie evidence of service. The ruling is based on the procedural posture of the case and the court's discretionary authority to permit resolution on the merits.

Case will be scheduled for Further Case Management Conference on Wednesday November 25, 2026 at 10:00 in Department 12.

The Defendant to prepare the final order, accompanied by the necessary EFS-020 Form within 7 days of the hearing.

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Calendar Line 5 & 6

Case Name: *Greg Gianotti v. Salacup Nardito, et al.*

Case No.: 25CV476569

Plaintiff Greg Gianotti (“Plaintiff”) alleges Defendants Salacup Nardito¹ (“Defendant”), and Does 1 through 10 inclusive knowingly and recklessly failed to provide safe and habitable housing to Plaintiff. Presently before the court is Defendant’s demurrer to the first, fourth, and ninth causes of action and prayer for injunctive relief (“Demurrer”) in Plaintiff’s Complaint (“Complaint”) and Defendant’s motion to strike (“Motion to Strike”) the Complaint’s prayer for punitive damages and attorneys’ fees.

Defendant’s demurrer to Plaintiff’s first cause of action for elder abuse, ninth cause of action for negligent infliction of emotional distress and prayer for injunctive relief is **OVERRULED**. Defendant’s demurrer to Plaintiff’s fourth cause of action for violation of San Jose Tenant Protection Ordinance is **SUSTAINED WITH LEAVE TO AMEND**. Defendant’s motion to strike is **DENIED**.

I. BACKGROUND

Plaintiff is an 82-year-old man who acquired tenant residency in a property owned by Defendant on March 25, 2023. (Complaint, ¶¶ 8, 4.) Plaintiff observed cockroaches and bedbugs inside the unit that persisted despite his repeated complaints. (*Id.* at ¶ 9.) In addition, the property had a dangerous gas leak from the kitchen oven and stove, and the second-floor bathroom floor had a large hole caused by water damage. (*Id.* at ¶¶ 10, 11.) These conditions were never adequately repaired or remediated by Defendant, despite Plaintiff’s repeated efforts to notify management. (*Id.* at ¶ 12.) After Plaintiff’s son called the City of San Jose on Plaintiff’s behalf, the City conducted inspections of the property on September 11, 2025, and September 16, 2025. (*Id.* at ¶¶ 12, 13.) The City determined that the unit was in substandard condition and unsafe for human habitation, and cited the property for multiple habitability violations for a pest infestation, a hazardous gas leak, a structural defect in the bathroom floor, and failure to maintain habitable conditions including safe appliances, pest-free housing and structurally sound premises. (*Id.* at ¶¶ 14, 15.) Plaintiff was forced to vacate the unit, as continued occupancy posed an unreasonable threat to his health and safety. (*Id.* at ¶ 16.)

Plaintiff alleges causes of action for elder abuse, breach of warranty of habitability, nuisance, violation of San Jose Tenant Protection Ordinance, unfair business practices, breach of covenant of quiet enjoyment, breach of contract, negligence, substandard housing in violation of San Jose Municipal Code, negligent infliction of emotional distress, and constructive eviction. Among other forms of relief, the Complaint prays for injunctive relief prohibiting Defendant from continuing to rent the Property in uninhabitable condition and requiring compliance with all applicable housing codes, punitive damages under Civil Code section 3294, attorneys’ fees, and civil penalties. Defendant demurred to Plaintiff’s first cause of action for elder abuse, fourth cause of action for violation of San Jose Tenant Protection Ordinance, ninth cause of action for negligent infliction of emotional distress, and prayer for

¹ Defendant’s demurrer states that Defendant was erroneously sued as “Salacup Nardito,” and Nardito Salacup is correct.

injunctive relief on January 15, 2026. Defendant also moved to strike “all demands and references to punitive damages in Plaintiff’s Complaint” and “Plaintiff’s prayer for attorney’s fees pursuant to Code of Civil Procedure Section 1021.5” on January 15, 2026 (Motion to Strike, p. 4:3-13.)

II. DEMURRER

A. Legal Standard

The function of a demurrer is to test the legal sufficiency of a pleading. (*Trs. Of Capital Wholesale Elec. Etc. Fund v. Shearson Lehman Bros.* (1990) 221 Cal.App.3d 617, 621.) Consequently, “[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice.” (*Mathews v. Becerra* (2019) 8 Cal.5th 756, 762, internal citations and quotations omitted; see also Code Civ. Proc., § 430.30, subd. (a).) “It is not the ordinary function of a demurrer to test the truth of the plaintiff’s allegations or the accuracy with which he describes the defendant’s conduct. ... Thus, ... the facts alleged in the pleading are deemed to be true, however improbable they may be.” (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 6.) Nevertheless, while “[a] demurrer admits all facts properly pleaded, [it does] not [admit] contentions, deductions or conclusions of law or fact.” (*George v. Automobile Club of Southern California* (2011) 201 Cal.App.4th 1112, 1120.)

B. Discussion

i. First Cause of Action: Elder Abuse

Defendant demurs to Plaintiff’s cause of action for elder abuse, arguing that the Complaint alleges a landlord-tenant relationship between Plaintiff and Defendant and this alone cannot support an elder abuse claim absent additional facts showing a duty to provide medical care or custodial services. (Demurrer, p. 4:9-13.)

The Elder Abuse and Dependent Protection Act defines an elder as any California resident above the age of 65. (Welf. & Inst. Code, § 15610.27.) Welfare and Institutions Code section 15610.07 includes financial abuse in its definition of “abuse of an elder or dependent adult.” (Welf. & Inst. Code, § 15610.07, subd. (a)(3).) Financial abuse of an elder occurs when a person “takes, secretes, appropriates, obtains, or retains real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both.” (Welf. & Inst. Code, § 15610.30, subd. (a)(1).) “A person or entity shall be deemed to have taken, secreted, appropriated, obtained, or retained property for a wrongful use if, among other things, the person or entity takes, secretes, appropriates, obtains, or retains the property and the person or entity knew or should have known that this conduct is likely to be harmful to the elder or dependent adult.” (Welf. & Inst. Code § 15610.30, subd. (b).) The applicable statute does not require a showing of a custodial relationship or medical provider relationship to sustain a claim of elder financial abuse.

Here, Plaintiff alleges that Plaintiff is over 65 and thus elderly within the meaning of the Welfare and Institutions Code (Complaint, ¶ 8.), that Defendant obtained Plaintiff's property in the form of rent money (*ibid.*), and that Defendant obtained Plaintiff's rent money for wrongful use in a manner that Defendant knew or should have known was likely to be harmful to Plaintiff by failing to repair Plaintiff's residence after Plaintiff complained (Complaint, ¶ 12.). Defendant argues in the Reply to Opposition to Demurrer ("Reply") that Plaintiff did not plead elder financial abuse, only elder abuse, in his Complaint. (Reply, pp. 2:26-3:3.) Plaintiff's first cause of action pleads elder abuse under Welfare and Institutions Code section 15600, et seq. The Complaint alleges sufficient facts to sustain a claim of elder financial abuse and thus alleges sufficient facts to sustain a claim of elder abuse.

Defendant's demurrer to Plaintiff's first cause of action for elder abuse is
OVERRULED.

ii. Fourth Cause of Action²: San Jose Tenant Protection Ordinance

Defendant demurs to Plaintiff's cause of action for violation of the San Jose Tenant Protection Ordinance, arguing that Plaintiff failed to allege facts establishing that the rental premises constitute an unpermitted unit within the meaning of the statute, and moreover even if the statute did apply to the property, the Ordinance only provides protections for tenants facing evictions and does not apply to Plaintiff. (Demurrer, p. 8:4-18.)

The Tenant Protection Ordinance ("the Ordinance") (San Jose Mun. Code, § 17.23.1200, et seq.) establishes just cause protections and tenancy termination procedures for tenants, including tenants of unpermitted units. (San Jose Mun. Code, § 17.23.1230, subds. (A), (C).) Plaintiff alleged that the property in question was an "unpermitted unit" within the meaning of the Tenant Protection Ordinance (Complaint, ¶ 48.), but Plaintiff did not allege facts sufficient to sustain a claim that Defendant violated the Ordinance. In opposition, Plaintiff points out the Ordinance "also requires a landlord to post certain notices at the property (SJMC § 17.23.1240) and prohibits retaliating against tenants (SJMC § 17.23.1270)." (Opposition to Demurrer, p. 3:26-28.) But the Complaint alleges neither that Defendant failed to post a notice of tenants' rights nor that Defendant retaliated against Plaintiff.

Plaintiff also argues in opposition that the fourth cause of action arose under San Jose Municipal Code section 17.20.980, but that is the cause of action listed for the eighth cause of action in the Complaint for "Substandard Housing: Violation of San Jose Municipal Code § 17.20.900" (Complaint, ¶¶ 81-86.) Defendant does not demur to that cause of action, making the argument inapposite.

Defendant's demurrer as to the fourth cause of action for violation of the San Jose Tenant Protection Ordinance is SUSTAINED WITH LEAVE TO AMEND.

iii. Ninth Cause of Action: Negligent Infliction of Emotional Distress

Defendant demurs to the Complaint's cause of action for negligent infliction of emotional distress because "by law, negligent infliction of emotional distress [is] not an

² The Complaint erroneously labels both the fourth and fifth causes of action as the "fourth" cause of action. The order will reflect the numbering in Defendant's Demurrer and the Complaint.

independent cause of action and is entirely duplicative of Plaintiff's negligence claim." (Demurrer, p. 4:19-22.) While Plaintiff did not oppose the demurrer to the Complaint's ninth cause of action, the court OVERRULES Defendant's demurrer to the Complaint's ninth cause of action.

Negligent infliction of emotional distress can be an independent cause of action. (*See Spates v. Dameron Hospital Assn.* (2003) 114 Cal.App.4th 208, 214 ["[A] cause of action to recover damages for negligently inflicted emotional distress will lie...in cases where a duty arising from a preexisting relationship is negligently breached."], *Molien v. Kaiser Foundation Hospitals* (1980) 27 Cal.3d 916, 930 ["[w]e hold that a cause of action may be stated for the negligent infliction of serious emotional distress."]; *Downey v. City of Riverside* (2024) 16 Cal.5th 539 [overruling a demurrer to a cause of action for negligent infliction of emotional distress].) To the extent that Defendant argues the negligent infliction of emotional distress claim is duplicative of the negligence claim and a demurrer must be sustained on that basis, Defendant cites nothing in support of sustaining a demurrer on this ground. (*See People v. Dougherty* (1982) 138 Cal.App.3d 278, 282 [a point asserted without argument or authority in support is without foundation and requires no discussion].) As such, Defendant's demurrer to the Complaint's ninth cause of action for negligent infliction of emotional distress is OVERRULED.

iv. Injunctive Relief

Defendant demurs to the prayer for injunctive relief in the Complaint on the basis that the requested injunctive relief of an order prohibiting Defendant from leasing the premises would provide no effectual relief to the Plaintiff because Plaintiff has already vacated the property. (Demurrer, p. 9:13-15.) "[A] demurrer cannot rightfully be sustained to part of a cause of action or to a particular type of damage or remedy." (*Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1047.) Accordingly, Defendant's demurrer to the Complaint's prayer for injunctive relief is OVERRULED.

Defendant's demurrer to Plaintiff's first cause of action for elder abuse, ninth cause of action for negligent infliction of emotional distress and prayer for injunctive relief is OVERRULED. Defendant's demurrer to Plaintiff's fourth cause of action for violation of San Jose Tenant Protection Ordinance is SUSTAINED WITH 20 DAYS' LEAVE TO AMEND.

III. MOTION TO STRIKE

A. Legal Standard

A court may strike out any irrelevant, false, or improper matter asserted in a pleading. (Code Civ. Proc., § 436, subd. (a).) A court may also strike out all or any part of a pleading not drawn or filed in conformity with the laws of the State of California. (Code Civ. Proc., § 436, subd. (b).) The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice. (Code Civ. Proc., § 437, subd. (a).) The court's decision to strike the petition pursuant to section 436 is discretionary. (*See* Code Civ. Proc., § 436 ["The court may . . . strike"].)

B. Punitive Damages

Defendant moves to strike “all demands and references to punitive damages in Plaintiff’s Complaint,” because Plaintiff’s Complaint did not sufficiently allege that Defendant acted with oppression, fraud or malice as required by Civil Code section 3294. (Motion to Strike, p. 4:3-8.) Civil Code section 3294 subdivision (c)(1) defines “malice” as “conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civ. Code, § 3294, subd. (c)(1).) Plaintiff alleges that Defendant leased an “uninhabitable and unsafe” property to Plaintiff that had a pest infestation, structural defects in the form of a hole on the bathroom floor, and a gas leak, that Plaintiff told Defendant about those conditions, and Defendant failed to remedy any of them. (Complaint, ¶¶ 9-12.) Plaintiff has thus sufficiently alleged that Defendant engaged in conduct “with a willful and conscious disregard of the rights or safety” of Plaintiff. (Civ. Code, § 3294, subd. (c)(1); *see Stoiber v. Honeychuck* (1980) 101 Cal.App.3d 903 [plaintiff could plead punitive damages in suit against landlord for dilapidated and unsafe condition of rental premises].) Accordingly, the motion to strike the punitive damages claim is DENIED.

Defendants’ motion to strike “exemplary damages” on line 9 on page 8 of the Complaint is MOOT as the court has sustained the demurrer on the fourth cause of action for violation of San Jose Tenant Protection Ordinance. Defendants’ motion to strike all other “demands and references to punitive damages in Plaintiff’s Complaint” is DENIED.

C. Attorneys’ Fees

Defendants move to strike Plaintiff’s “prayer for attorney’s fees pursuant to Code of Civil Procedure Section 1021.5[.]”³ (Motion to Strike, p. 4:9-13.) Defendant argues that because the instant action concerns only a former tenant, a single landlord, and one rental property, it does not seek to enforce an important right and, therefore, Code of Civil Procedure section 1021.5 does not apply. (Motion to Strike, p. 8:15-17.)

“[A]n award under [Code of Civil Procedure] section 1021.5 requires a showing that (1) the litigation enforced an important right affecting the public interest; (2) it conferred a significant benefit on the general public or a large class of persons; and (3) the necessity and financial burden of private enforcement (or enforcement by one public entity against another) were such as to make the award appropriate. Since the statute states the criteria in the conjunctive, each element must be satisfied to justify a fee award...The third element, the necessity and financial burden requirement, involves two issues: whether private enforcement was necessary and whether the financial burden of private enforcement warrants subsidizing the successful party’s attorneys.”

³ Defendants’ Motion to Strike also includes the following: “attorneys’ fees” on line 20 on page 11 of the Complaint (under the seventh cause of action for negligence); “attorneys’ fees and a civil penalty of five hundred dollars thereto” on line 14 on page 12 of the Complaint (under the eighth cause of action for substandard housing); “[d]isgorgement of all rent money collected on an unpermitted an[d] uninhabitable unit” on line 27 of page 13 of the Complaint, and “civil penalties against Defendants as allowed by the City of San Jose’s Municipal Code” (both under the prayer for relief). (Motion to Strike, p. 2:17-21, 23-24.) Defendants’ Motion does not make any arguments as to why this court should strike the above portions of Plaintiff’s Complaint. As Defendants failed to present the grounds for striking these allegations, the court DENIES the Motion to Strike with respect to the above. (Code Civ. Proc., § 437, subd. (a).) (*See People v. Dougherty, supra*, 138 Cal.App.3d at p. 282 [a point asserted without argument or authority in support is without foundation and requires no discussion].)

(Hambrick v. Healthcare Partners Medical Group, Inc. (2015) 238 Cal.App.4th 124, 157-158, internal quotation marks and citations omitted.)

If a plaintiff prevails in an unfair competition law claim, it may seek attorneys' fees as a private attorney general pursuant to Code of Civil Procedure section 1021.5. (*Walker v. Countrywide Home Loans, Inc. (2002) 98 Cal.App.4th 1158, 1179.*) Defendant does not demur to the Complaint's cause of action alleging unfair business practices. The motion to strike "prayer for attorney's fees pursuant to Code of Civil Procedure Section 1021.5" on lines 10-11 on page 9 of the Complaint is DENIED.

IV. CONCLUSION

Defendants' demurrer to Plaintiff's first cause of action for elder abuse, ninth cause of action for negligent infliction of emotional distress and prayer for injunctive relief is OVERRULED. Defendants' demurrer to Plaintiff's fourth cause of action for violation of San Jose Tenant Protection Ordinance is SUSTAINED WITH 20 DAYS' LEAVE TO AMEND. Defendants' motion to strike is DENIED.

The court will prepare the Order.

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Calendar Line 7

Case Name: *Sandeep Pal v. Denodo Technologies Inc.*

Case No.: 25CV479084

BACKGROUND

Plaintiff Sandeep Pal (“Plaintiff”) executed an At Will Employment, Confidential Information, Invention Assignment, and Arbitration Agreement (“the Agreement”) on April 29, 2025. Plaintiff joined Denodo Technologies Inc. (“Defendant”) on May 5, 2025 as a Senior Sales Director. (Complaint at ¶¶ 11, 13.) Plaintiff alleges that he “suffered from mental and physical disabilities and medical conditions during the Employment Period, necessitating reasonable accommodations, including but not limited to intermittent leave and medical leave.” (*Id.* at ¶ 15.) After experiencing a mental health crisis and upon returning to work, Plaintiff noticed a sudden change in how he was treated. (*Id.* at ¶¶ 22-26.) On July 22, 2025, two weeks after returning from leave, Defendant terminated Plaintiff’s employment. (*Id.* at ¶ 27.) On October 30, 2025, Plaintiff sued Defendant for violations of the California Fair Employment and Housing Act including disability discrimination, failure to prevent discrimination, retaliation, and wrongful termination in violation of public policy.

Defendant now moves to compel arbitration pursuant to the Agreement that was electronically signed by Plaintiff during the onboarding process. Plaintiff argues the arbitration provisions within the Agreement are unenforceable because they are unconscionable. Having reviewed the Agreement and evidence, the Court denies the motion to compel arbitration. However, the Court grants Defendant’s Request for Judicial Notice of the JAMS Employment Arbitration Rules & Procedures (“JAMS Rules”) pursuant to Evidence Code section 452, subdivision (h). (*Cooper v. Lavelly & Singer Professional Corp.* (2014) 230 Cal.App.4th 1, 6, fn. 7 [taking judicial notice of the JAMS Rules]; *Boghos v. Certain Underwriters at Lloyd’s of London* (2005) 36 Cal.4th 495, 505, fn. 6 [taking judicial notice of the American Arbitration Association’s commercial arbitration rules pursuant to Evidence Code section 452, subdivision (h)].)

LEGAL STANDARD

The Agreement provides that arbitration shall be conducted “pursuant to the Federal Arbitration Act (9 U.S.C. sec. 1 et seq.) (the ‘FAA’).” (Declaration of Andrea Vazquez Carballa [“Carballa Decl.”], Ex. A at ¶ 11(A).) Furthermore, “[e]mployment contracts, except for those covering workers engaged in transportation, are covered by the FAA.” (*EEOC v. Waffle House* (2002) 534 U.S. 279, 289.)

Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

ANALYSIS⁴

The parties entered into a valid agreement to arbitrate. Defendant has attached a copy of the Agreement containing the arbitration provisions electronically signed by Plaintiff on April 29, 2025. (Carballa Decl. at ¶ 3, Exs. A, B.) (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165 [noting that it is a moving party’s burden to produce prima facie evidence of an agreement to arbitrate by attaching the agreement to the motion].) Plaintiff’s electronic signature has the same legal effect as a handwritten signature and is express acceptance of an agreement to arbitrate. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060; *Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777.) Defendant has set forth the procedures undertaken to authenticate Plaintiff’s signature in the Declaration of Andrea Vasquez Carballa. Ms. Carballa attaches a copy of the DocuSign Certificate of Completion Defendant received upon Plaintiff’s execution of the Agreement as Exhibit B. Plaintiff does not dispute that he signed the Agreement. To the extent Plaintiff argues he did not understand the legal significance of the Agreement when he signed it, “[a]n arbitration clause within a contract may be binding on a party even if the party never actually read the clause.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) The general rule is that “one who assents to a contract is bound by its provisions and cannot complain of unfamiliarity with the language.” (*Harris v. TAP Worldwide, LLC* (2016) 248 Cal.App.4th 373, 383.)

Additionally, the scope of the arbitration provisions cover Plaintiff’s claims. The arbitration provisions apply to “any and all controversies claims, or disputes that I may have with the company . . . arising out of, relating to, or resulting from my employment or relationship with the company, including any breach of this agreement . . .” (Carballa Decl., Ex. A at ¶ 11(A).) The specific claims that are subject to arbitration include in relevant part, “any and all common law and/or statutory claims under local, state, or federal law, including but not limited to claims under . . . the California Fair Employment and Housing Act . . . and claims of harassment, discrimination, retaliation, wrongful termination, and breach of contract.” (*Ibid.*) As noted above, Plaintiff’s claims allege violations of the California Fair Employment and Housing Act for discrimination, failure to prevent discrimination, retaliation, and wrongful termination in violation of public policy. Plaintiff’s claims squarely fall within the scope of the arbitration provisions.

Plaintiff challenges the enforceability of the arbitration provisions by arguing that it is unconscionable. The party challenging a contractual arbitration provision bears the burden of proving that it is both procedurally and substantively unconscionable. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126 (*OTO*).) This may be done on a sliding scale, where the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required, and vice versa. (*Id.* at pp. 125-126.) Nevertheless, both must be shown. Procedural unconscionability focuses on oppression or surprise to the “weaker” party based on unequal bargaining power, whereas substantive unconscionability focuses on the terms of the agreement and whether they are overly harsh or one-sided. (*OTO, supra*, 8 Cal.5th at pp. 125-129.)

⁴ Defendant argues “[a]ny argument against enforcement of the Agreement based on Assembly Bill 51 or Labor Code section 432.6 is misplaced, however, because the Federal Arbitration Act (9 U.S.C. section 1 et seq.; ‘the FAA’) wholly preempts Assembly Bill 51 and Labor Code section 432.6 to the extent that it applies to arbitration agreements.” (Mtn. to Compel Arbitration at p. 8:1-4.) Plaintiff does not make any arguments to this effect, and the Court declines to reach the issue.

Defendant is incorrect that the validity of an arbitration provision is determined by an arbitrator. “[O]rdinarily, a court must decide whether there is a valid agreement to arbitrate between the parties. Hence, if the party resisting arbitration is claiming that the arbitration clause itself is unconscionable, a court must decide this claim.” (*Bruni v. Didion* (2008) 160 Cal.App.4th 1272, 1290 (*Bruni*).) Moreover, paragraph 11(A) provides: “To the fullest extent permitted by law, I also agree to arbitrate any and all disputes arising out of or relating to the interpretation or application of this agreement to arbitrate, *but not disputes about the enforceability, revocability, or validity of this agreement to arbitrate* or its requirement that I bring any arbitration proceeding only in my individual capacity.” Thus, it is within the Court’s purview to consider whether the arbitration provisions within the Agreement are procedurally and substantively unconscionable.

Procedural Unconscionability

The circumstances that the court examines to determine whether there was “oppression” in the signing of an agreement generally include: “ ‘(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.’ ” (*OTO, supra*, 8 Cal.5th at pp. 126-127 [quoting (*Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332, 1348].)

The arbitration provisions here are embedded within a 15-page agreement addressing other terms unrelated to arbitration. However, in contrast to the other terms, the arbitration provisions are capitalized with the specific claims subject to arbitration in bold. (Cf. *Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1250-1251 [noting that procedural unconscionability has been found where the presence of an arbitration provision has not been distinguished through bold lettering, larger font, or capitalization].) Plaintiff maintains he did not know he could negotiate the terms of the Agreement or consult with an attorney. (Declaration of Sandeep Pal at ¶ 5.) Nevertheless, while Plaintiff was required to sign the Agreement as a condition of employment, “the cases uniformly agree that a compulsory predispute arbitration agreement is not rendered unenforceable just because it is required as a condition of employment or offered on a ‘take it or leave it’ basis.” (*Lagatree v. Luce* (1999) 74 Cal.App.4th 1105, 1127.) This type of contract of adhesion in the employment context adds a modest amount of procedural unconscionability and, the amount of procedural unconscionability is increased when the fact of an adhesion contract is combined with other issues. (See *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.) Given the Agreement’s adhesive nature, Plaintiff’s inability to negotiate the terms, and the presentation of the arbitration provisions within a prolix printed form, the Court concludes that an average degree of procedural unconscionability exists.

Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create overly harsh or one-sided results. (*Armendariz Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*).) The court assesses whether the agreement reallocates risks in an objectively unreasonable or unexpected matter. (*Jones v. Wells Fargo Bank* 112 Cal.App.4th 1527, 1539.) “In assessing substantive unconscionability, the paramount consideration is mutuality.” (*Pinela v. Neiman Marcus*

Group, Inc. (2015) 238 Cal.App.4th 227, 241 [internal citation and quotation marks omitted].) Arbitration agreements are substantively unconscionable where they lack a “modicum of bilaterality,” “without at least some reasonable justification for such onesidedness based on ‘business realities.’” (*Armendariz, supra*, 24 Cal.4th at p. 117.)

Armendariz instructs that there are “five minimum requirements for the lawful arbitration of such rights pursuant to a mandatory employment arbitration agreement. Such an arbitration agreement is lawful if it ‘(1) provides for neutral arbitrators, (2) provides for more than minimal discovery, (3) requires a written award, (4) provides for all of the types of relief that would otherwise be available in court, and (5) does not require employees to pay either unreasonable costs or any arbitrators’ fees or expenses as a condition of access to the arbitration forum. Thus, an employee who is made to use arbitration as a condition of employment “effectively may vindicate [his or her] statutory cause of action in the arbitral forum.” ’ ’” (*Armendariz, supra*, 24 Cal.4th at p. 102.)

The arbitration provisions satisfy these factors. As Defendant notes, the arbitration provisions adopt and incorporate the JAMS Rules. (Carballa Decl., Ex. A at ¶ 11(B).) Rule 7 of the JAMS Rules provides that arbitration shall be conducted by a neutral arbitrator. (Defendant’s Request for Judicial Notice [“RJN”], Ex. A at p. 6.) Discovery is permitted under Rule 17 of the JAMS Rules. (*Id.* at pp. 9-10.) The arbitration provisions further require the arbitrator to administer proceedings pursuant to the California Civil Discovery Act. (Carballa Decl., Ex. A at ¶ 11(B).) Rule 24(h) of the JAMS Rules requires the arbitrator to issue a written award regarding the disposition of each claim. (Defendant’s RJN, Ex. A at p. 13.) The arbitration provisions do not impose unreasonable costs on Plaintiff and provide, “I understand that the company will pay for any administrative or hearing fees charged by the arbitrator or JAMS except that I shall pay any filing fees associated with any arbitration that I initiate, but only so much of the filing fees as I would have instead paid had I filed a complaint in a court of law that would have had jurisdiction over such complaint.” (Carballa Decl., Ex. A at ¶ 11(B).) The Agreement, therefore, complies with *Armendariz*.

Plaintiff, however, argues that the Agreement is substantively unconscionable based on his reading of *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312 (*Cook*). In *Cook*, the Second District Court of Appeal upheld the trial court’s denial of a motion to compel arbitration because of the (1) broad scope of the agreement, (2) the infinite duration, and (3) the lack of mutuality in the claims that were covered by the agreement. (*Cook, supra*, 102 Cal.App.5th at p. 321.) With respect to the broad scope, the agreement required the arbitration of “all claims” whether or not arising out of the employment relationship between the parties. (*Ibid.*) The court noted that employment contracts can provide a “margin of safety” to the party with the superior bargaining power as long as there is a legitimate commercial need for doing so that is explained in the contract itself. (*Cook, supra*, 102 Cal.App.5th at p. 324.) The agreement there did not explain the justification and the court held that the trial court did not err in holding that the broad scope was substantively unconscionable. (*Id.* at pp. 324-325.)

As for the infinite duration, the agreement purported to survive indefinitely following the employee’s termination unless modified by a written document signed by the president of the university. (*Cook, supra*, 102 Cal.App.5th at p. 325.) The court held that this amounted to an express term of duration and did not establish that the agreement was terminable at will. (*Ibid.*) The court upheld the trial court’s finding of substantive unconscionability on the

grounds that plaintiff could be ordered to arbitrate any injuries she suffered related to USC or its related entities for the rest of her life. (*Cook, supra*, 102 Cal.App.5th at pp. 318, 325.)

Finally, the court found that the agreement lacked mutuality because the plaintiff was required to arbitrate any claims she had with USC's related entities or agents, but they were not required to arbitrate their claims with her. (*Id.* at pp. 326-327.) The court noted, "[t]he plain language of the arbitration agreement thus provides a significant benefit to USC's related entities without any reciprocal benefit to Cook." (*Id.* at p. 328.)

Plaintiff argues the arbitration provisions here are similar to the one in *Cook* and should be found substantively unconscionable. First, Plaintiff argues the arbitration provisions are similar to the one in *Cook* in that they survive for an infinite duration. Like *Cook*, the Agreement here provides "[n]o modification of or amendment to this Agreement, nor any waiver of rights under this Agreement, will be effective unless in a writing signed by the President or CEO of the Company and me." (Cabralla Decl., Ex. A at ¶ 12(F).) The Agreement also provides, "[t]he rights and obligations of the parties to this Agreement will survive termination of my employment with the Company." (*Id.* at ¶ 12(G).) Thus, the Agreement here includes an express term of duration and is not terminable at will. Plaintiff could be forced to arbitrate any claims she has against Defendant for matters arising after his employment has terminated indefinitely. This is especially true considering the arbitration provisions apply to any other relationship Plaintiff may have with Defendant unrelated to his employment, as explained below. Accordingly, the Court finds this term unconscionable.

Second, Plaintiff argues the arbitration provisions apply to all disputes with Defendant, including disputes as to any employee, officer, director, trustee, or benefit plan that arise out of or relate to his relationship with Defendant. (Opposition at pp. 6:21-7:3.) Like *Cook* however, the arbitration provisions do not provide that employees, officers, or directors must also arbitrate their disputes with Plaintiff. Thus, the arbitration provisions lack mutuality in this regard. As for the scope of the arbitration provisions, they are overbroad. The arbitration provisions provide that they apply to any claim or dispute "arising out of, relating to, or resulting from my employment *or relationship* with the company, or the termination of my employment *or relationship* with the company[.]" (Cabralla Decl., Ex. A at ¶ 11(A).) It is unclear what other relationship the parties may have apart from an employment one. As noted in *Cook*, employment contracts can provide a "margin of safety", so long as a legitimate commercial need for doing so is explained in the contract itself. (*Cook, supra*, 102 Cal.App.5th at p. 324.) Defendant provides no explanation for why the term "or relationship" is necessary. The inclusion of "or relationship" thus appears superfluous. The Court finds the scope of the arbitration provisions to be substantively unconscionable.

Lastly, Plaintiff argues the Agreement provides benefits not afforded to Plaintiff. Specifically, the indemnity clause in paragraph 4(B) of the Agreement requires Plaintiff to indemnify Defendant for any liabilities incurred resulting from any breach of obligations owed by Plaintiff to a third party but does not require the same of Defendant. Employers are required to indemnify employees for expenses incurred during "the discharge of his or her duties." (Lab. Code § 2802, subd. (a).) That provision cannot be waived. (Lab Code § 2804; accord *Edward v. Arthur Anderson LLP* (2008) 44 Cal.4th 937, 951-952.) "Section 2802 thus requires an employer to indemnify an employee who is sued by third persons for conduct in the course and scope of his or her employment, including paying any judgment entered and attorney's fees and costs incurred in defending the action. [Citations.] As long as the employee is acting within the course and scope of his or her employment, the right to

indemnity is not dependent upon a finding that the underlying action was unfounded.” (*Cassady v. Morgan, Lewis, & Bockius LLP* (2006) 145 Cal.App.4th 220, 230.) Thus, paragraph 4(B) lacks mutuality and runs afoul of Labor Code section 2802 by shifting the obligation to indemnify on Plaintiff. The Agreement is, therefore, unconscionable in this respect.

The Unconscionable Terms are Not Severable

“[W]hether to sever is within the trial court’s discretion.” (*Navas v. Fresh Venture Foods, LLC* (2002) 85 Cal.App.5th 626, 636-637.)

“ ‘In deciding whether the sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever unless the agreement is “permeated” by unconscionability.’ [Citation.] [¶] An agreement to arbitrate is considered ‘permeated’ by unconscionability where it contains more than one unconscionable provision. [Citation.] ‘Such multiple defects indicate a systemic effort to impose arbitration on [the nondrafting party] not simply as an alternative to litigation, but as an inferior forum that works to the [drafting party’s] advantage.’ [Citation.] An arbitration agreement is also deemed ‘permeated’ by unconscionability if ‘there is no single provision a court can strike or restrict in order to remove the unconscionable taint from the agreement.’ [Citation.] If ‘the court would have to in effect, reform the contract, not through severance or restriction, but by augmenting it with additional terms,’ the court must void the entire agreement.” (*Mango v. The College Network, Inc.* (2016) 1 Cal.App.5th 277, 292.)

(*De Leon v. Pinnacle Property Management Services, LLC* (2021) 72 Cal.App.5th 476, 492-493.)

Defendant argues the Court can “sever or limit the application of the unconscionable clause and enforce the remainder of the Agreement.” (Mtn. to Compel Arbitration at p. 7:8-9.) Plaintiff maintains severance is improper because the Agreement is substantively unconscionable on several grounds. (Opposition at p. 9:1-6.) Indeed, the Court has found multiple terms unconscionable. In *Cook*, the court affirmed the trial court’s judgment on severability because it was based on the fact that multiple provisions were unconscionable and that the central purpose of the agreement was for the parties to arbitrate all disputes with each other for an indefinite period of time, including those against third parties. (*Cook, supra*, 102 Cal.App.5th at pp. 328-330.) Likewise, here the central purpose of the arbitration provisions is for the parties to arbitrate all disputes with each other, including those arising outside of Plaintiff’s employment, for an indefinite period of time. Even if the Court were to sever the portion referring to “or relationship”, it would not change the fact that only Plaintiff is required to arbitrate against any employees, officers, or directors but not vice versa. It would not make sense to sever this portion of the arbitration provisions because as Defendant notes, “[i]ncluding claims against Denodo personnel within the scope of the arbitration agreement is reasonable and necessary because a corporation can only act through its agents.” (Reply at p. 5:21-22.) However, to make this term mutual would require the Court to re-write the Agreement. Given the average degree of procedural unconscionability and considerable degree of substantive unconscionability, the Court finds the arbitration provisions unconscionable and inseverable. Accordingly, the arbitration provisions are not enforceable.

For these reasons, the Court DENIES the motion to compel arbitration.

DISPOSITION

The motion to compel arbitration is DENIED.

The Court will prepare the Order.

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Calendar Line 8

Case Name: *Pedram Bigdeli et al. v. Jaguar Land Rover North America, LLC*

Case No.: 25CV479845

In this Song-Beverly Warranty Act case, Defendant Jaguar Land Rover North America, LLC (“Defendant”) moves to compel arbitration against Plaintiffs Pedram Bigdeli and Teraneh Zafarbod (“Plaintiffs”) based on the Passport to Service contained within the Owner’s Manual that accompanied the sale of the vehicle, a 2024 Range Rover (“Subject Vehicle”). After reviewing Warranty, the court concludes the motion should be denied.

The Owner’s Manual

The vehicle warranty upon which Plaintiffs bring this action contains a two-page arbitration clause. It provides in relevant part, “any claim or disputes between us . . . related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to . . . the failure to conform a vehicle to warranty . . . shall be resolved by binding arbitration at either your or our election, even if the claim is timely filed in a court of law.” It goes on for another page, toward the end of which it states: “This agreement evidences a transaction involving interstate commerce and shall be governed by the Federal Arbitration Act, 9 U.S.C. §§ 1-16.” The Owner’s Manual is not signed and there is no evidence that Plaintiffs were made aware of the text of the warranties in this document or the arbitration provision contained therein before purchasing the Subject Vehicle.

Under the Federal Arbitration Act (“FAA”), the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists and, if it does, (2) whether the agreement encompasses the dispute as issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Mutual Assent

Here, there is no indication that Plaintiffs signed the Owner’s Manual or knew of its provisions at the time of sale. Therefore, there was no mutual assent supporting a valid agreement. Under certain circumstances, including those involving an unsigned *handbook*, a contract may be void if “a party, before making the agreement, lacks reasonable opportunity to learn its terms.” (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 790 [addressing arbitration provision contained in an employee handbook] [citing *Rosenthal v. Great Western Financial Securities Corp.* (1996) 14 Cal.4th 394, 421].) As noted in *Norcia v. Samsung Telecommunications America, LLC* (9th Cir. 2017) 845 F.3d 1279 (*Norcia*), another case involving an unsigned brochure (entitled “Product Safety & Warranty Information”): “Even if there is an applicable exception to the general rule that silence does not constitute acceptance, courts have rejected the argument that an offeree’s silence constitutes consent to a contract when the offeree reasonably did not know that an offer had been made.” (*Norcia*, 845 F.3d at p. 1285 [applying “basic principles of California contract law”].)

Recently, the Second District Court of Appeal in *Kostandian v. American Honda Motor Co., Inc.* (2026) 120 Cal.App.5th 872,⁵ considered whether a valid agreement to arbitrate existed under a warranty booklet. The court there found in the affirmative because the lease agreement included a final inspection at delivery sheet that the respondent signed and initialed confirming his receipt of the owner's manual and warranty information. (*Id.* at p. 876.) The facts here are distinguishable from *Kostandian*. There is no evidence that the warranty was presented in any manner to Plaintiffs. Additionally, Plaintiffs did not sign any documents confirming receipt of the Owner's Manual. Thus, there is no evidence of assent by Plaintiffs to the arbitration provisions here. In sum, unlike *Kostandian*, there are no facts supporting an outward manifestation of assent. "California law is clear—'an offeree, regardless of apparent manifestation of his consent is not bound by inconspicuous contractual provisions of which he was unaware, contained in a document whose contractual nature is not obvious.'" (*Long v. Provide Commerce, Inc.* (2016) 245 Cal.App.4th 855, 862, internal citations omitted.)

Equitable Estoppel

Defendant argues that notwithstanding Plaintiff's lack of assent and lack of knowledge regarding the arbitration provisions, they are now barred by equitable estoppel from challenging these provisions in the vehicle warranty because they have affirmatively asserted the warranty by seeking repairs from Defendant and bringing this Song-Beverly Action.

A nonsignatory to a contract is generally " 'estopped from avoiding arbitration if [he] knowingly seeks the benefits of the contract containing the arbitration clause.' [Citation.] Equitable estoppel, thus, 'precludes a party from claiming the benefits of a contract while simultaneously attempting to avoid the burdens that contract imposes.'" (*Philadelphia Indemnity Insurance Co. v. SMG Holdings, Inc.* (2019) 44 Cal.App.5th 834, 841 [citations omitted].) But warranties like that found in the Owner's Manual are "governed by a different set of rules" in California: "A seller is bound by any express warranties given to the buyer, including statements in written warranty agreements, advertisements, oral representations, or presentations of samples or models. [Citations.] Language in a written warranty agreement is 'contractual' in the sense that it creates binding, legal obligations on the seller [citation], but a warranty does not impose binding obligations on the buyer. Rather, warranty law 'focuses on the seller's behavior and obligation—his or her affirmations, promises, and descriptions of the goods—all of which help define what the seller in essence agreed to sell.' [Citations.] A buyer may have to fulfill certain statutory conditions to obtain the benefit of a warranty. See, e.g., Cal. Civ. Code[,] § 1793.02(c) (stating that '[i]f the buyer returns the [assistive device for an individual with a disability] within the period specified in the written warranty,' the seller must adjust or replace the device (emphasis added)). But a warranty generally does not impose any independent obligation on the buyer outside of the context of enforcing the seller's promises." (*Norcia, supra*, 845 F.3d at p. 1288.)

Norcia was not an equitable estoppel case, because the plaintiff there did not attempt to enforce the warranty. But its reasoning is nonetheless persuasive. A warranty is an atypical contract. It is essentially one-sided, even though it is offered only after a buyer has agreed to pay for something pursuant to a sales contract. And it imposes obligations on a seller (or, in this case, on a manufacturer who passes the car into the stream of commerce through an

⁵ Appellant Honda Motor America also moved to compel arbitration pursuant to a lease agreement executed by its wholly owned subsidiary financing company that was named as a party therein. This case is also distinguishable because Defendant does not move to compel arbitration pursuant to any other agreement.

authorized dealer who is the actual “seller”), but no independent, free-standing obligations on a buyer. It is unreasonable to expect a car buyer to know or anticipate that the buyer is necessarily agreeing to arbitrate all claims against that manufacturer merely by receiving a pre-printed warranty in an owner’s manual.

The proposition that a manufacturer can compel arbitration in virtually every Song-Beverly case simply by inserting language into an owner’s manual—without ever calling the buyer’s attention to that language—runs counter to the reasoning of *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122. In that case, the Supreme Court concluded that a manufacturer could not enforce an arbitration provision in a sales contract to which its authorized dealer and a car buyer both affirmatively assented (but to which the manufacturer itself was not a party). (*Id.* at p. 1126.) Allowing a car manufacturer to perform an end-run around that decision simply by inserting an undisclosed and unsigned arbitration provision into an owner’s manual containing warranty terms would be an inequitable result. (*UFCW & Employers Benefit Trust v. Sutter Health* (2015) 241 Cal.App.4th 909, 929 [“ ‘The linchpin for equitable estoppel is . . . fairness.’ ”].) In contrast to other reported California decisions in which the equitable estoppel has been applied, the present case “does not present the unfairness that equitable estoppel is designed to avoid.” (*Id.* at p. 931.)

The court denies the motion to compel arbitration. Since the vehicle warranty does not create an agreement to arbitrate, the Court need not address Defendant’s arguments on waiver and unconscionability as there is no agreement to be enforced.

DISPOSITION

The motion to compel arbitration is DENIED.

The Court will prepare the order.

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